APPENDIX A

Glossary of Financial Terms

Personal finance has a language all its own, but it doesn't have to be intimidating. The average person only needs to know the basics, so if you have an understanding of the terms in this glossary, you're off to a good start.

APR: Annual percentage rate; a way of expressing the interest rate on a loan. Because it includes fees that are paid up front, it gives the borrower a more accurate picture of the true cost of borrowing.

asset: Anything you own that is of monetary value, including cash, stocks, bonds, mutual funds, cars, real estate, and other items.

bankruptcy: A court process in which you acknowledge that you are unable to pay your debts and you allow your assets to be sold to repay creditors to the extent possible (Chapter 7 or liquidation bankruptcy); or, you work with the court to set up a plan to pay all or some of your debt over a period of several years (Chapter 13 or reorganization bankruptcy).

Blue Book value: The market value of a car after an allowance for depreciation is deducted. This is an estimate of what a seller can expect to receive for the vehicle upon resale, as posted in the Kelley Blue Book.

bonds: Loans from investors to corporations and governments given in exchange for interest payments and timely repayment of the debt. Interest rates are usually fixed.

budget: A forecast of income and expenses by category. Actual expenses and income are compared to the forecast and a plan is developed to reduce or control expenses to provide for savings to meet financial goals.